

■ By Malini Bhupta

The September listing of Motilal Oswal Financial Services may have made the broking firm's co-promoter Raamdeo Agrawal richer by Rs 499 crore, but he does not expect to add to his personal wealth any more since he believes the market will not cross 19,000 over the next year. Old-timers like Agrawal, who recall how the Sensex took 10 years to climb from 1,000 to 6,000 points in February 2000, aren't comfortable with its rise from 15,318 on August 31 to 19,837 on October 31 this year. After the dip in August on account of sub-prime fears, the Indian market has seen a very fast bull run since the US Federal Reserve cut interest rates by 0.5 per cent.

Now market watchers say BSE's Sensitive Index is likely to be stuck at around 19,000 for the next year and will not give returns of more than 10 per cent. So if you haven't had the chance to ride the bull this year, this is not the time to take the plunge. Jayprakash Sinha, director and head of research at Ambit Capital, a broking firm, is asking clients to sell and wait for a correction or buy into defensive stocks that are not part of the rally.

With FII's pumping \$16 billion (Rs 64,000 crore) into Indian equities over the past 11 months, the market has been driven by liquidity rather than rationale. Agrawal says it is critical to watch out for the Sensex's price-earnings (PE) multiple, or the ratio of total market capitalisation to total net profit, which has risen from 18 to 22 times. "If the inflows remain modest, the PE ratio will come down to 20 and the Sensex will remain at 19,000," he says. If the inflows continue unabated, the ratio will rise, making Indian equities very expensive. The PE ratio typically indicates the valuation of the market and can be calculated by dividing the price of the stock by the earnings per share. The higher the ratio, the more expensive the market.

It is this liquidity resulting from foreign inflows that makes the market highly volatile and unpredictable. If inflows continue at the same rate as this year, the opportunity to make money will be far lower, says Sinha. The tone of trading is determined by what FIIs do in the market. Indian markets have

IS THE PARTY OVER?

THE BULL'S BILLIONS

Driven by liquidity rather than rationale, the Sensex breached the 19,000 mark in October

